

January 14th, 2025

Through my years of investing, although it's brief, I've learned that investing in quality companies is the only way to sleep well at night. Knowing you own the best of the best is a good feeling. During times of market panic, knowing you own quality provides much needed emotional support. Through my readings, there is a clear consistent factor to all uber successful investors... a portfolio that consists of a collection of stocks, with just a few big winners, aka Baggers. These are companies that have appreciated many fold since their IPO and continue to compound. The goal for the long term investor should be to build a collection of quality companies that you allow to compound for decades. All it takes is a few big winners to live worry free later in life.

To preface, I believe in simplicity as an investor and avoiding the infinite mistakes that can tackle the intellectual investor. IQ has zero correlation to success in investing, it's all about emotional intelligence. Be aware of how certain stocks make you feel. More importantly, be able to contain those feelings. No other factor causes more harm to investors than themselves. I truly focus all my efforts in investing on two parameters, both of which are in one's control... 1.) Human behavior and 2.) Simplicity.

Let's get into some stocks. I have watchlists of 100s of companies that I've watched throughout the years, but it's really about condensing that list over time into what you define as your "Universe". This is where simplicity comes in. However you determine it, whether you agree with their long term potential, or you love the product, it doesn't matter. What matters is you've identified the stock as investable in your universe and you are going to hold on to it through thick and thin as a long term investor. The agreement between your emotions and psych is going to decide if you sell during a volatile downturn (Ex. 2022-1H 2023) or whether you hold on long enough to see the massive appreciation to the upside.

The best quality companies I see in today's market. I would be okay with putting my entire life savings into these three companies and not checking for over a decade:

- GOOGL
- AMZN
- FTNT

Other notables that I believe are great long term holds at today's prices:

- AMD (semiconductor)
- RDDT
- NVDA (semiconductor)
- TSLA
- ZTS (produce all pet medication)
- LMT (monopoly, essentially like investing in the government)
- ASML (semiconductor)
- GMED (biotech)
- MEDP (biotech)
- NVO (biotech)

A handwritten signature in black ink, appearing to be 'L. Cagle', written in a cursive style.

Luke Cagle
Cagle Family Interests, Ltd.